Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc

Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

FX Outlook

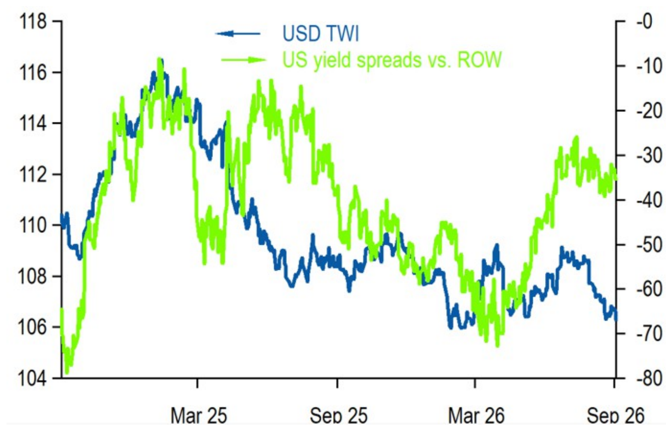
Leaning into bullish USD trades (again)

- **We had advised against the USD-bearish/ debasement narrative following Treasury buybacks; Fed Chair Warsh's hawkish delivery and firm employment were positives, but the lack of FX follow-through has disappointed.**
- **Cheap USD valuations and US resiliency prompts us to lean more aggressively into the dollar bullish view we have maintained since mid-May**; we **re-initiate USD longs vs. low yielders** (SEK, CAD).
- We **acknowledge** there are **several counter-arguments to the bullish dollar view**, but **we lay out why a bearish dollar view is without merit…**
- **… with a range-bound outlook more defensible.**
- **Japan domestic policy is on the move with GPIF and BoJ in play**; we are **tactically bullish yen given US vigilance, but medium-term cautious** as policy non-delivery will result in an unwind.
- **Next two weeks**: US **CPI** (key), **ECB** (hawkish but won't move the needle on EUR longer-term), **FOMC, BoJ, BoE.**

A hollow victory, but we lean into the bullish USD view again...

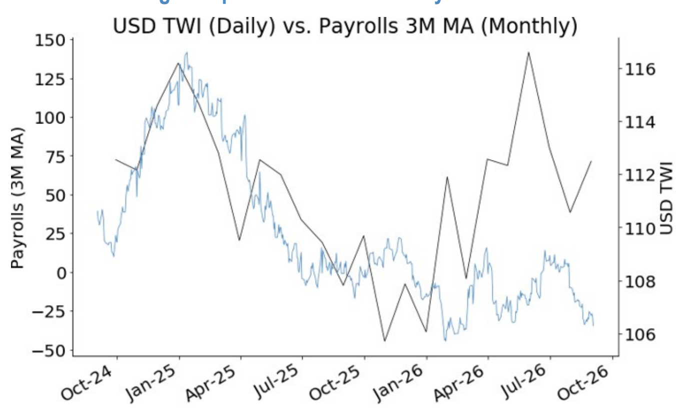
We had advised against leaning into the USD-bearish/ debasement narrative following the US Treasury buyback story; we were vindicated by Fed Chair Warsh's hawkish Jackson Hole delivery, but this outcome still rang hollow given the lack of FX follow-through. The broad dollar index barely bounced by 0.5% following the Warsh JH speech, and was trading at the bottom end of its 4-year range prior to the payrolls. The dollar is still undershooting rates / Fed re-pricing substantively (Figure 1), which is what has given us a dollar-bullish bias, but ultimately the data needs to provide the catalyst for the dollar to "mean revert"; today's payrolls report provides at least a partial catalyst given the bounce in headline payrolls and the still tight u-rate (4.1% vs. FOMC forecast of 4.3%; Figure 2). **Even though the CPI report next Friday should ultimately be key for the Sep FOMC meeting, the lack of reaction in the dollar today and the ongoing undershoot prompt us to lean more aggressively into the USD bullish view we adopted in mid-May; we re-initiate USD longs vs. low yielders like SEK and CAD** (see *Trade Recommendations*).

Figure 1: The dollar is undershooting 3-4% relative to rate spreads



Source: J.P. Morgan.

Figure 2: Payrolls has provided a partial catalyst for USD strength and u-rate is tracking 0.2%pts below the FOMC's year-end forecast



Source: J.P. Morgan, Bloomberg Finance L.P.

There are several counter-arguments to the bullish USD view...

Our bullish USD view notwithstanding, several counter arguments plague our minds. These include:

- **Markets are already well-priced for the Fed tightening,** with just under three hikes cumulatively in the next year (Figure 3); how much more upside is there? Real policy rates priced into markets are approaching 2%, consistent with our current US growth forecasts (Figure 4). And if the upside is limited and Fed hikes are mostly priced, is there any legitimate reason why the dollar undershoot should mean revert now when the bulk of the re-pricing (from cuts of 150bp to ~65bp of hikes) is already over?

Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc

Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
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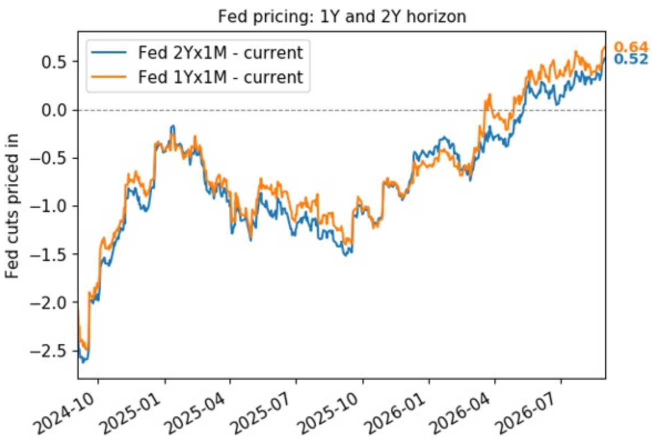
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

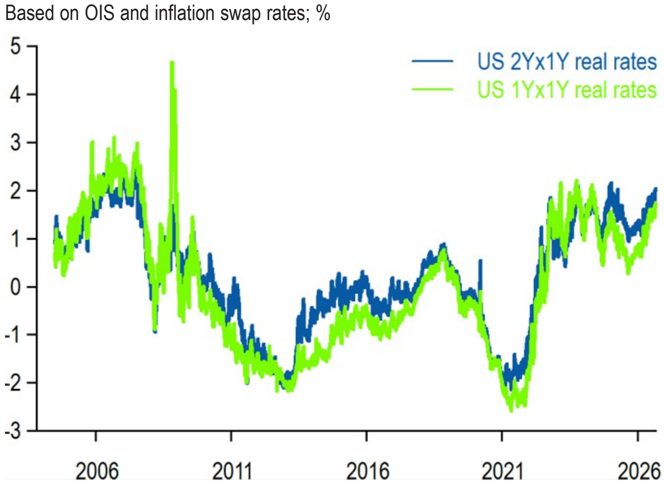
Figure 3: But the bulk of Fed re-pricing might have already occurred…



Source: J.P. Morgan.

Figure 4: …with real policy rates priced into markets approaching 2%, consistent with our current US growth forecasts

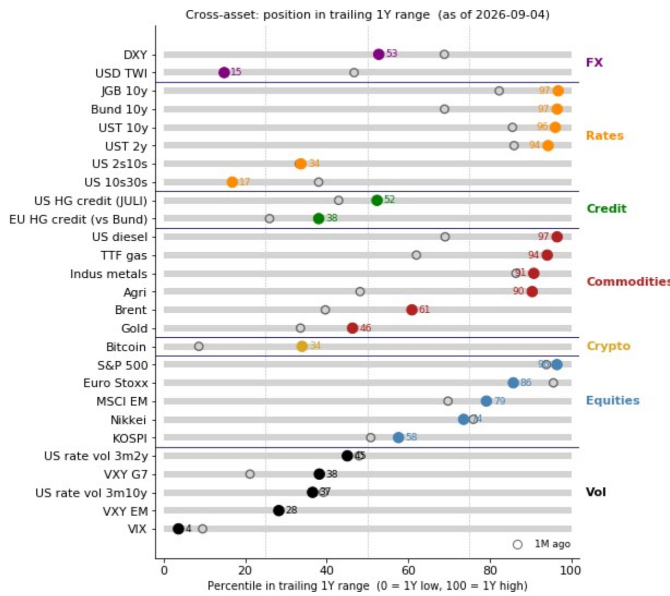
Based on OIS and inflation swap rates; %



Source: J.P. Morgan.

- Moreover, **growth is strong globally and this isn't a "pure" US exceptionalism** - instead growth resilience is a global phenomenon resulting in mid-smile dynamics for the dollar.
- **Finally, rate hikes are a global phenomenon, not just a Fed-only story**. Since common factors are driving inflation up everywhere (energy, food prices; Figure 5), many central banks are hiking rates globally (Figure 6). This blunts the impact of Fed hikes, as one needs divergences rather than synchronization to move FX markets.

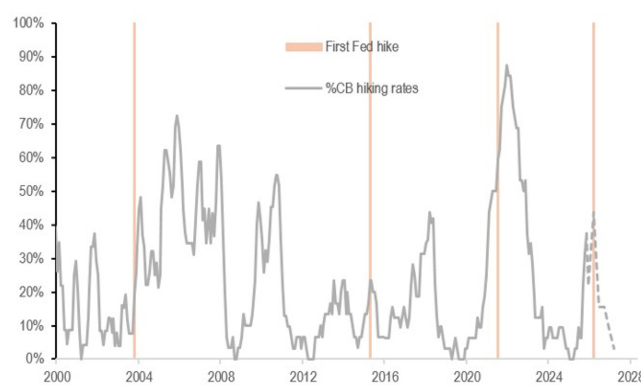
Figure 5: Some factors (energy on conflict, food prices on el nino) are driving inflation up everywhere...



Source: J.P. Morgan.

Figure 6: ...and many central banks ex-US are already hiking or expected to hike further

% of global central banks hiking rates (3m lookback); dotted is J.P. Morgan Economics forecast



Source: J.P. Morgan.

...but talk of dollar demise is overstated

Given these counters, why are we bothering with a long dollar recommendation? It's valuations (Figure 1**), energy exposure and persistent yield supremacy** that will be maintained even if the Fed stays on hold and will improve if the Fed does hike. The dollar already has strong nominal and real yields vs. rest of the world and particularly within DM (Figure 7); if the Fed hikes by a total of three times, this will improve further (orange dot vs. baseline of one hike in red dot). Only one hike, as in our baseline, will leave the dollar yielding more than 50% of currencies globally, near a 2.5 decade high; but a total of three hikes would take that to 58%,

Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

a new level, all else equal (Figure 8). While the Fed may not hike and provide the catalyst for USD strength, we also think that the combination of dollar undershooting and US yield spreads near four-decade highs will prevent an outsized USD weakening as well. Hence, our preference to play the range from the long side tactically.

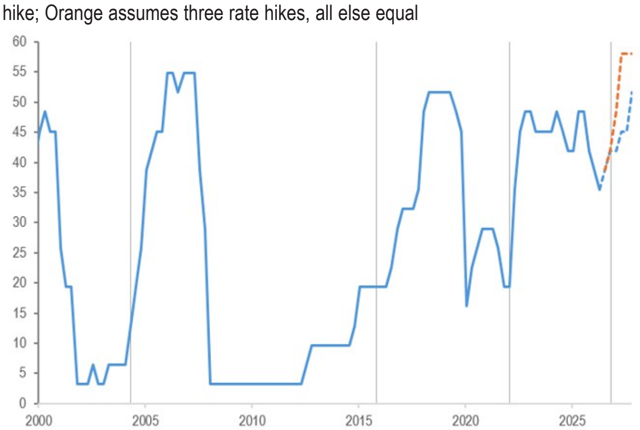
Figure 7: Dollar still has relatively high real and nominal carry...

JPM Economics projected nominal policy rate in 2Q'27 vs projected *real* policy rate in 2Q'27

Source: J.P. Morgan

Figure 8: ...and will be yielding above 50-55% of currencies globally if Fed hikes commence

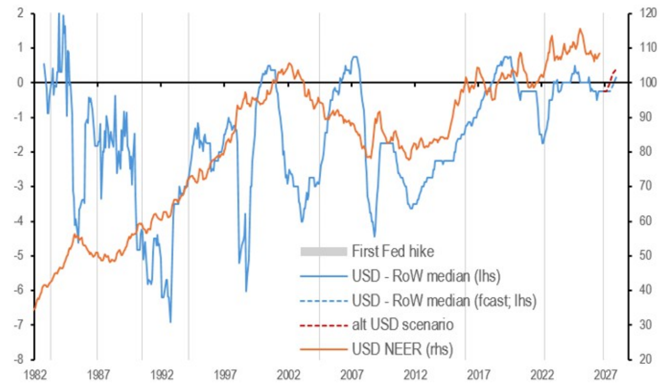
% of currencies USD yields above; Blue dotted line is baseline forecast with one Fed hike; Orange assumes three rate hikes, all else equal



Source: J.P. Morgan.

Figure 9: USD yield spreads will remain near four-decade highs, preventing USD weakening as well

USD - RoW median policy rate spread;; dotted line is forecast and red dotted line alternative scenario with additional two hikes relative to forecast



Source: J.P. Morgan

All roads still lead to carry

The discussion above exemplifies why the dollar view needs to be tactical (and that it is highly debatable), but what is less so is our view on carry. With growth signals still robust, rates high-for-long and firm inflation, FX investors should continue to seek inflation protection via the high yielders (a lot which happen to be energy exporters). This remains a theme that we continue to emphasize and has worked all year. Figure 10illustrates which currencies have been the most vulnerable to hawkish Fed re-pricing (x-axis) and higher commodity prices (y-axis; bottom left quadrant). The most vulnerable to a more hawkish Fed (x-axis) are the low-yielders like SEK, NZD and CAD. Over the longer-horizons, JPY used to be the most sensitive but that is no longer the case given multiple intervention episodes. The relatively high vulnerability of cyclical low yielders like SEK and CAD is why we prefer to be using these currencies as short candidates vs. the dollar.

Meera Chandan AC (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc

Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
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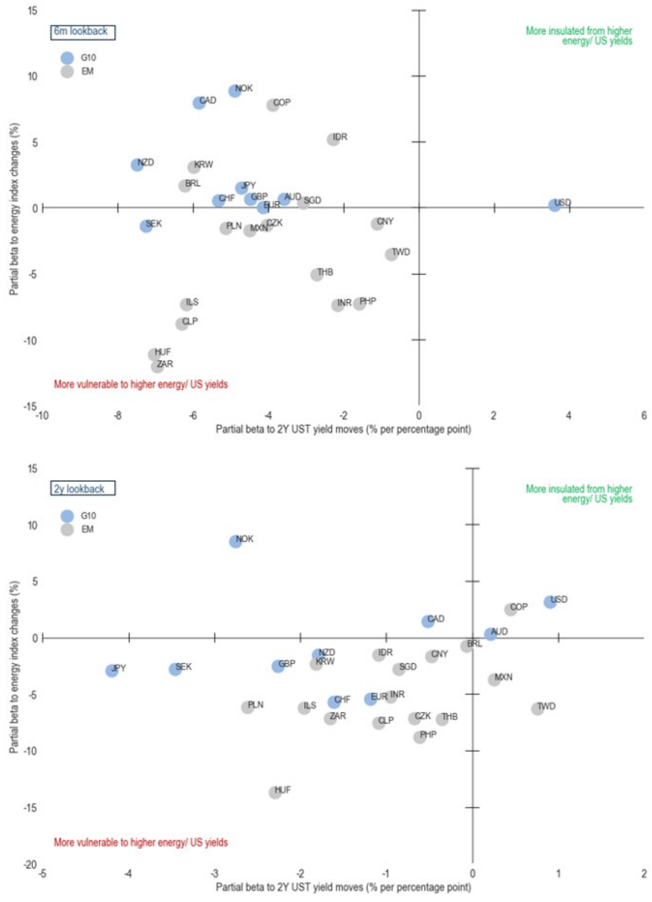
Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

Figure 10: Low-yielders are more vulnerable to a hawkish Fed (x-axis) with several vulnerable to higher energy prices as well (y-axis)

Multivariate CCY/USD beta to changes in energy prices (y) and changes in US yields (x); 1-week changes over 6m (top) and 2y (bottom) lookback



Source: J.P. Morgan

Double-barrelled GPIF and BoJ keeps us tactically bullish yen, but medium-term cautious

This week, the JPY broadly appreciated against major currencies, and USD/JPY approached the post–late July coordinated-intervention low (155.23). This appears to have been driven by speculation about a GPIF allocation shift and rising expectations for BoJ rate hikes. **While expectations toward the GPIF and the BOJ feel somewhat overdone, we stick with the tactical yen long for now (vs other low-yielders like SEK) as Japan policy is still in play in the near-term. But without any substantive policy delivery, the base case is for USD/JPY to stay in 155–165 range (see note).**

GPIF developments this week warrant attention after the agenda published on Aug 31 revealed an unusually timed 126th Management Committee meeting on Aug 21—the first August meeting in seven years (since the 2019 basic portfolio review)—and, notably, a renewed discussion of the Basic Portfolio Verification Project Team's work despite its March 2026 conclusion that a review was unnecessary, suggesting the committee may be reassessing amid the sharp rise in JGB yields (10Y around 2.17% as of Mar 6). Near term, the most plausible FX-relevant channel remains a reallocation within existing bands rather than an outright Basic Portfolio change: moving domestic bonds (26.91% end-Mar 2026) to the top of the 25%±6% range (31%) implies ~JPY 12.3tn of JPY buying, and lifting Japanese equities (23.81%) to 31% implies ~JPY 21.6tn—~JPY 33.8tn in aggregate yen-buying/FX-selling potential, which is larger than the ~JPY 27.2tn of MOF intervention year-to-date. The next tangible signal is GPIF's monthly flow data due Sep 8 (estimates: ~JPY 0.9tn foreign bond buying and ~JPY 1.7tn foreign equity selling), where any meaningful deviation could indicate a shift in portfolio behavior.

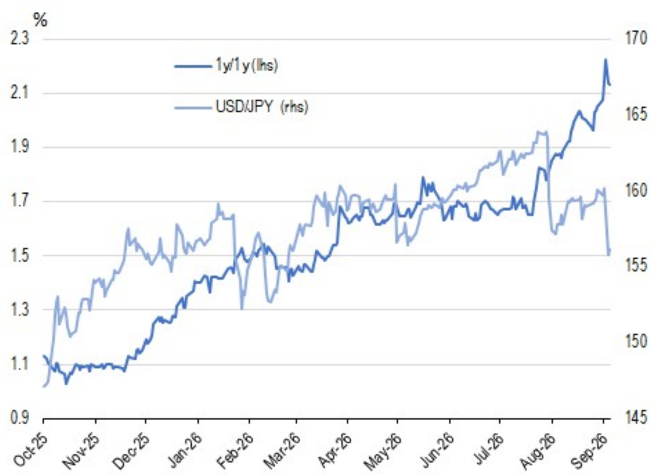
As for the BOJ, since the coordinated intervention in late July, BOJ rate hike expectations have risen rapidly amid speculation that US authorities, in exchange for cooperating with intervention, asked the BOJ to accelerate policy normalization, as well as in light of a series of remarks by Treasury Secretary Bessent. Markets have now almost fully priced in a September hike, and the JPY 1y1y swap rate has risen to around 2.13%, implying a faster pace of tightening than our forecast (to 2.00% by mid-next year and to 2.25% by end-next year). In addition, after Board Member Takata did not rule out the possibility of a 50bp hike or consecutive hikes on September 2, some market participants appear to have begun discussing such scenarios. **More importantly, as rate-hike pricing has advanced, the prior "behind-the-curve" concern has receded and the relationship between hike expectations and the JPY has "normalized," making rising hike expectations more likely to translate into JPY appreciation (Figure 11).** However, a positive correlation between BOJ hike expectations and the JPY also means that if hike expectations retreat, the JPY becomes more prone to selling. Given that the recent rise in hike expectations looks somewhat overheated, near-term risks may instead be tilted toward JPY selling on the back of a pullback in hike expectations. Watch this space going into the BoJ.

Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

Figure 11: As expectations for BOJ hikes have risen, "behind the curve"concern has receded, making increases in rate-hike expectations more likely to translate into JPY appreciation.

JPY's1y1y swap rate and USD/JPY



Source: Bloomberg Finance L.P., J.P.Morgan

Our base case is that USD/JPY will settle into the 155–165 range if (i) the BOJ continues to raise rates roughly once per quarter for the time being, and (ii) the outlook for U.S. monetary policy (the Fed) does not shift materially from current market pricing.On the other hand, potential catalysts for USD/JPY to break below the assumed range and for JPY appreciation to progress include: (1) increased pricing of Fed rate cuts amid a deterioration in the U.S. economy; (2) a sharp correction in Japanese equities triggered by an accelerated pace of BOJ hikes; (3) a GPIF policy-portfolio change; and (4) USD-selling intervention by U.S. authorities and/or an expansion of the FIMA repo, among others. Our estimates suggest there may currently be a relatively large JPY short position outstanding; if these catalysts were to trigger a large-scale short covering, the magnitude of JPY appreciation could be relatively large, warranting caution. By contrast, catalysts for JPY depreciation include: (1) BOJ hikes that fall short of expectations (and a resurgence of "behind-the-curve" concerns); (2) Fed hikes that exceed expectations; and (3) rising concerns over Japan's fiscal risks (see note).

Figure 12: Various scenarios for USD/JPY and potential catalysts

Scenario	USD/JPY	BOJ	Fed	Yen depreciation correction measures	Others
Yen stabilization (base case)	155～165	Rate hikes at a pace of once per quarter for the time being	Rate hikes in line with market expectations	GPIF: Increase the weighting of yen-denominated assets while keeping the basic portfolio unchanged	
		Rate hikes at a pace of once per quarter for the time being	Rate hikes in line with market expectations		
	153～163	Rate hikes at a pace of once per quarter for the time being	Dissipation of rate hike expectations		
Yen appreciation	Declines below 155. If large-scale unwinding of JPY shorts occurs, it could fall well below 150.	Rate hikes slow, but do not lead to rate cuts	The market begins to price in rate cuts		
		Rate hikes at a pace of once per quarter or faster for the time being	Rate hikes in line with market expectations		Sharp decline in the Nikkei
		Rate hikes at a pace of once per quarter or faster for the time being	Rate hikes in line with market expectations	GPIF: Change the basic portfolio (increase the weighting of yen-denominated assets)	
		Rate hikes at a pace of once per quarter or faster for the time being	Rate hikes in line with market expectations	USD selling intervention and/or expansion of the FIMA repo facility	
Yen depreciation	Rises above 165	Rate hikes below market expectations	Rate hikes above market expectations		
		Rate hikes below to in line with market expectations	Rate hikes in line with market expectations		Rising fiscal concerns

Source: J.P. Morgan

Meera Chandan AC (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.
Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

Next two weeks: FOMC, BoJ, BoE, ECB, and US CPI

The US CPI will be the single most important event next week given the implications for the September FOMC meeting. The ECB is scheduled for next week with a hike and hawkish rhetoric expected, but we don't expect this to move the ECB to move the needle on the euro.

The next two weeks will feature major central bank meetings and key economic releases. G10 central banks to watch are: ECB (10th, JPM: +25bp), FOMC (16th, JPM: on hold), BoE (17th, JPM: on hold), and BoJ (18th, JPM: +25bp). Key inflation data will be released in Norway (10th), US (11th, CPI), Canada (14th), UK (16th), and Japan (18th, Nationwide CPI). US retail sales (16th) and UK retail sales (18th) will shed light on consumer resilience. UK labour market data (15th) and Germany ZEW survey (15th) will further inform local growth narratives. New Zealand GDP (16th, 2Q) rounds out the key data calendar.

EM central bank meetings will take place in Chile BCCh (8th, JPM: on hold), Poland NBP (9th, JPM: on hold), Turkey CBRT (10th, JPM: on hold), Russia CBR (11th, JPM: on hold), Peru BCRP (11th, JPM: on hold), Brazil COPOM (16th, JPM: -25bp), Czech Republic CNB (17th, JPM: on hold), and Taiwan CBC (17th, JPM: on hold).

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J.P. Morgan Securities plc

Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

Main trade recommendations

Trade type	Currency	Trade	P/L
Macro portfolio			
Cash (new trades)	**USD/SEK, USD/CAD**	— Buy USD vs SEK, CAD 50:50 basket	0.00%
Cash (existing)	**CAD/MXN**	— Sell CAD/MXN	4.63%
	AUD/CHF, USD/CHF, CHF/HUF, CHF/NOK	— Sell CHF vs AUD, USD, HUF, NOK	2.04%
	SEK/JPY	— Sell SEK/JPY	2.96%
Options (new)		—	-
Options (existing)			
Closed			
Derivatives portfolio			
RV (new trades)	**CHF/JPY-USD/JPY**	— Buy 3M 2% OTMS CHF/JPY put (1x notional) vs. Sell 3M 2% OTMS CHF/JPY call (2x notional) vs. Buy 3M 2% OTMS USD/JPY call (1.2x notional)	-3.5 bps.
	AUD/CHF-GBP/CHF	— Buy an equal-weighted basket of 6M 25D vega-neutral risk-reversals in CHF vs. AUD and GBP	-0.2 vol pts.
	USD/BRL	— Sell delta-hedged 3M USD/BRL 10 delta put	-0.4 vol pts.
RV (existing)	**USD/CHF**	— Buy delta-hedged 6M USD/CHF 25D risk-reversal (Long USD put, Short USD call)	-0.2 vol pts.
	USD/MXN	— Buy delta-hedged 3M USD/MXN ATM/25d 1*2 vega-neutral ratio call spreads	1.7 vol pts.
	USD/ZAR	— Buy 2M in 4M USD/ZAR FVA	-1.6 vol pts.
	EUR/HUF-EUR/SEK	— Buy 3M 2% OTMS EUR puts/HUF calls vs. sell 3M 2% EUR puts/SEK calls	-3.0 bps.
	USD/CAD	— Buy 3M USD/CAD 1.45 digi call	-10.9%
RV (closed)			

Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
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junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

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Meera Chandan AC (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

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Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

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Meera Chandan AC (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc
Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

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Meera Chandan [AC] (44-20) 7134-2924
meera.chandan@jpmorgan.com
J.P. Morgan Securities plc

Junya Tanase (81-3) 6736-1270
junya.tanase@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ikue Saito (65) 6801-3154
ikue.saito@jpmorgan.com
JPMorgan Chase Bank, N.A., Singapore Branch

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